

Thanks for the update, Walt. One option we were considering was a "share the pain" settlement with Dreyfus, whereby they would let us buy out of the remaining position at a steep discount (to acknowledge their contributory negligence in this matter). Has there been any additional headway in this area? I'm on vacation and haven't heard anything on this. Weren't we going to send a V&E litigator to visit Dreyfus' general counsel? If we commence legal proceedings against Dreyfus, things will become costly and contentious between us. Information will come slowly and grudgingly. We have copies of some of their internal notes which indicate that they knew---or should have known---that something wasn't quite right with Todoroff's situation. Before we start filing discovery motions, we should exhaust the possibility of meeting with their general counsel to see if a quick "business" settlement can be obtained. Please advise. Thanks. SWD

WALT

ZIMMERMAN

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Subject: Todoroff Prosecution--CONFIDENTIAL/SUBJECT TO ATTORNEY-CLIENT PRIVILEGE

Earlier this week, I spoke with Bill Moore (the chief prosecutor in the Harris County District Attorney's Special Crimes Unit) regarding the above-referenced matter. Mr. Moore acknowledged receiving the investigative materials that we submitted last week, and he indicated that his office is commencing its review of those materials. I emphasized to Mr. Moore the desire of EOTT's management to have this case aggressively prosecuted. Mr. Moore acknowledged that the aggressive prosecution of this matter would send a strong message to other traders who might consider dishonest acts, and he assured me that his office would vigorously pursue this matter. Based upon some statements made by Mr. Moore during our discussion, it was obvious that he recalled much of the presentation from our initial meeting. I will call Mr. Moore again tomorrow afternoon to get an update on the progress of this matter.

We are also attempting to obtain from Louis Dreyfus tape recordings of Todoroff's conversations with them regarding the series of deals that we are describing as "The Second Transaction." If Louis Dreyfus does not voluntarily provide us with copies of those tapes (or if they assert that tapes do not exist), the next step will be to consider filing a lawsuit or seeking a bill of discovery in order to obtain the tapes. Based upon some notes we have received from a contract administrator at Louis Dreyfus, it appears that Louis Dreyfus also suspected or knew that something was amiss with The Second Transaction. Assuming that Todoroff's conversations with Louis Dreyfus were taped, the tapes should tell us whether Todoroff had a conspirator at Louis Dreyfus who assisted him in his scheme to defraud EOTT.

If Louis Dreyfus does not voluntarily produce tape recordings of its conversations with Todoroff, we will need some guidance from Enron as to how aggressive we should be in attempting to obtain the tapes.